ENTREPRENEURSHIP

Chapters 4 & 11 Summary Cheatsheet

Barringer & Ireland | Exam-Ready Reference

CHAPTER 4: WRITING A BUSINESS PLAN

What is a Business Plan?	
Definition	A written narrative describing what a new business intends to accomplish and how it will accomplish it.
Dual Purpose	Used INTERNALLY (road map for the team) and EXTERNALLY (convincing investors/stakeholders).
Length	25–35 pages is sufficient for most plans — clear, concise, and long enough to be complete but short enough to hold interest.
Key Insight	The plan often changes during writing. New insights emerge as the entrepreneur digs deeper and gets feedback.

Why Write a Business Plan?	
Internal Reason	Aligns the team — helps employees operate in synergy and move forward in a consistent, purposeful manner.
External Reason	Makes the case to investors that the firm is a good use of their funds; introduces the opportunity and strategy.
Why Businesses Fail	Poor customer service, poor marketing, inadequate product — a solid business plan directly addresses all three.

Business Plan Sections (The Full Outline)	
1. Executive Summary	Short overview of the ENTIRE plan (max 2 pages). Written LAST, placed FIRST. Section-by-section snapshot.
2. Industry Analysis	Industry size, growth rate, sales projections, nature of participants, key success factors, industry trends, Five Forces Model.
3. Company Description	General description, company history, mission statement, products/services, current status, legal structure, key partnerships.
4. Market Analysis	Target market segmentation (geographic, demographic, psychographic), buyer behavior, competitor analysis, market share.
5. Economics of the Business	Revenue drivers, profit margins, fixed vs. variable costs, start-up costs, break-even chart and calculations.

6. Marketing Plan	Overall marketing strategy, the 4 Ps (Product, Price, Promotion, Place), sales process and tactics.
7. Operations Plan	How the business runs and how the product/service is produced. Front-stage (customer-facing) vs. back-stage activities. Location, facilities, equipment.
8. Management Team & Structure	Founder(s), key management, board of directors, board of advisers, company org structure. CRITICAL — investors often go here first.
9. Overall Schedule	Milestone timeline: incorporating the venture, prototype completion, facility rental, financing, production start, first sale.
10. Financial Projections	Sources & uses of funds, assumptions sheet, pro forma income statements, balance sheets, cash flows, ratio analysis.

Executive Summary — Key Rules

- Written LAST but placed FIRST in the document
- Maximum 2 single-spaced pages
- Covers every section of the plan at a high level
- Purpose: give a busy investor everything they need to decide whether to read further

Presenting to Investors (12 Slides)

- 1. Title Slide | 2. Problem | 3. Solution | 4. Opportunity & Target Market
- 5. Technology | 6. Competition | 7. Marketing & Sales | 8. Management Team
- 9. Financial Projections | 10. Current Status | 11. Financing Sought | 12. Summary
- Rule #1: Stick to your time limit. If given 15 min, use exactly 15 min.
- Slides must be sharp and uncluttered. Rehearse thoroughly. Anticipate investor questions.

Quick Exam Terms — Chapter 4

Business Plan	Written document describing what a new business intends to accomplish and how
Executive Summary	2-page overview of the entire plan; written last, placed first
Pro Forma	Projected/forecasted financial statements (income, balance sheet, cash flow)
Break-Even Point	The number of units that must be sold before the business starts earning a profit
Milestone Schedule	Timeline of critical events required to successfully launch the venture
Five Forces Model	Framework used in industry analysis to assess competitive dynamics

CHAPTER 11: UNIQUE MARKETING ISSUES

The Core Marketing Question	
The Question	"Who are our customers and how will we appeal to them?"
The 3-Step Answer	1. Segment the market (S) → 2. Select a target market (T) → 3. Establish a unique position (P)
Why It Matters	A new firm is unknown — customers must take a leap of faith. Marketing defines how the firm earns their trust.

Step 1: Market Segmentation	
Geographic	Nations, states, regions, cities — where customers are located
Demographic	Age, gender, family size, life cycle, income — who the customers are
Psychographic	Personality, lifestyle, values — how customers think and live
Behavioral	Usage rate, loyalty, purchase occasion — how customers act

Step 2: Selecting a Target Market

- The market must be sufficiently ATTRACTIVE (big enough to be profitable)
- The firm must have the CAPABILITY to serve it
- Sweet spot: large enough to sustain the business, small enough to avoid giant competitors

Step 3: Establishing a Unique Position	
Positioning	Claiming a specific part of the market as your own by differentiating from rivals in customers' minds.
How	Highlight 2–3 key product attributes that are most relevant to the target customer.
Tagline	A consistent phrase used across all marketing that reinforces the position. Examples: Nike — 'Just Do It', Apple — 'Think Different', Subway — 'Eat Fresh'.
Benefits vs. Features	CRITICAL: Market the BENEFITS (what the product does for you), NOT just the features (what the product is). Feature-based campaigns are far less effective.

Building a Brand	
Brand Definition	The set of attributes — positive or negative — that people associate with a company.

Product vs. Brand	A product is made in a factory. A brand lives in the minds of consumers. Products can be copied; a strong brand is unique and timeless.
Brand Assets	Trust, dependability, ease of dealing with — customer loyalty built through a brand is one of the firm's most valuable assets.

The 4 Ps of Marketing (Marketing Mix)

Product	The good or service offered. Includes core product (purpose) + actual product (quality, features, design, packaging, warranty). Use reference accounts to overcome being unknown.
Price	The amount consumers pay. Price signals quality and positioning. Two methods: (1) Cost-Based — add markup to cost; (2) Value-Based — price what customers are willing to pay.
Promotion	How the firm communicates with its market. Includes advertising, public relations, viral marketing, guerrilla marketing. Sell benefits, not features.
Place (Distribution)	All activities that move the product from origin to consumer. Choice: sell DIRECT to consumer, or through INTERMEDIARIES (wholesalers, retailers).

Pricing Methods

Cost-Based Pricing	List price = product cost + markup percentage. Simple but ignores customer perception.
Value-Based Pricing	List price = what consumers are willing to pay. Customer-centric and often yields higher margins.

Promotion Techniques

Public Relations (PR)	Building favorable publicity and a good corporate image. Used to promote products, people, and ideas.
PR Tools	Press releases, media coverage, industry articles, blogging, news conferences, community involvement.
Viral Marketing	Encourages customers to pass along a marketing message — low cost, high reach if it catches on.
Guerrilla Marketing	Relies on ingenuity, cleverness, and surprise rather than traditional/expensive advertising methods.

Distribution: Direct vs. Intermediary

Selling Direct	Firm sells straight to the consumer. Maintains control of the sales and distribution process.
Selling Through Intermediaries	Products pass to wholesalers → placed in retail outlets → sold to consumers. Wider reach but less control.

Quick Exam Terms — Chapter 11

STP	Segmentation → Targeting → Positioning — the 3-step market selection process
Positioning	Differentiating the firm in customers' minds by owning 2–3 key attributes
Brand	The set of attributes people associate with a company; lives in customers' minds
Reference Accounts	Early customers used as proof/credibility to attract more customers
Cost-Based Pricing	Price = Cost + Markup
Value-Based Pricing	Price = What the customer is willing to pay
Guerrilla Marketing	Low-budget, high-creativity marketing that uses surprise and ingenuity
Viral Marketing	Marketing that spreads through word-of-mouth, often digitally
Core Product	The fundamental purpose/benefit of a product
Actual Product	Core product + quality level, features, design, packaging, warranty